

1.3 Marketing mix and strategy

Subject content	What students need to learn:
1.3.1 Product/service design	a) Design mix: - o function - o aesthetics - o cost b) Changes in the elements of the design mix to reflect social trends: - o concern over resource depletion: designing for waste minimisation, re-use and recycling - o ethical sourcing
1.3.2 Branding and promotion	a) Types of promotion b) Types of branding c) The benefits of strong branding: - o added value - o ability to charge premium prices - o reduced price elasticity of demand d) Ways to build a brand - o unique selling points (USPs)/differentiation - o advertising - o sponsorship - o the use of social media e) Changes in branding and promotion to reflect social trends: - o viral marketing - o social media - o emotional branding

Subject content	What students need to learn:
1.3.3 Pricing strategies	a) Types of pricing strategy: - o cost plus (calculating mark-up on unit cost) - o price skimming - o penetration - o predatory - o competitive - o psychological b) Factors that determine the most appropriate pricing strategy for a particular situation: - o number of USPs/amount of differentiation - o price elasticity of demand - o level of competition in the business environment - o strength of brand - o stage in the product life cycle - o costs and the need to make a profit c) Changes in pricing to reflect social trends: - o online sales - o price comparison sites
1.3.4 Distribution	a) Distribution channels b) Changes in distribution to reflect social trends: - o online distribution - o changing from product to service
1.3.5 Marketing strategy	a) The product life cycle b) Extension strategies: - o product - o promotion c) Boston Matrix and the product portfolio d) Marketing strategies appropriate for different types of market: - o mass markets - o niche markets - o business to business (B2B) and business to consumer (B2C) marketing e) Consumer behaviour – how businesses develop customer loyalty